

Northbridge Supplies: Business Case for Faster, Safer Invoice Approval

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Summary

I'm asking for approval to spend £25,000, plus £4,000 a year, to fix how Northbridge approves supplier invoices. The money switches on the approval workflow module we already own, alongside some free process changes.

In 2025, only 82.1% of invoices were paid on time against a target of 95%. We also paid 45 invoices twice, worth £158,776. Chasing approvals and sorting out queries took about 2,168 hours of staff time.

The recommended changes pay for themselves in about 11 months, even before counting the duplicate payments they would prevent. The quickest fix, blocking duplicate payments, costs nothing and can be in place within two weeks.

Prepared for Helen Marsh, Finance Director.

The problem

We are paying suppliers late, paying some of them twice, and spending a lot of staff time chasing. These figures come from all 5,045 invoices processed in 2025, worth £20.4m.

Measure	2025 result	Target
Invoices paid on time	82.1% (904 paid late)	At least 95%
Late-payment charges	£17,597	Cut by at least 75%
Average days from invoice to payment	21.0 days	Cut by a third
Approval reminders sent	5,955	Halve them
Duplicate payments	45 invoices, £158,776	None

Staff time is a hidden cost too. Reminders and queries took about 2,168 hours, around £39,020 at £18 an hour. That's more than one person's full working year.

The duplicate payments also confirm the external auditors' concern about weak controls.

Why it happens

Three root causes explain most of the problem. Each one was raised in stakeholder interviews and then checked against the 2025 data.

- 1. Purchase order problems.** 28% of invoices arrive with no PO number or a price that doesn't match the PO. They take about 30 days to pay, against 17 days for matched invoices, and account for 57% of all late payments. Nine in ten queries come from these invoices. Part of the cause is urgent jobs being ordered by phone with no PO raised.
- 2. Slow approvals from two budget holders.** Even on straightforward invoices, the Operations Manager took 15 days on average to approve and the Marketing Manager 12 days, against under 5 days for everyone else. Approval requests get lost among around 200 emails a day, and approvers can't see the PO or delivery details when they approve.
- 3. No duplicate payment check.** The finance system can warn about duplicates, but the warning is easy to click past. Suppliers often resend invoices when chasing payment, and AP relies on memory to spot them.

Options and recommendation

I recommend Option 2: quick process fixes plus switching on the approval workflow module. It is the only option that tackles all three root causes without buying new software.

Option	Fixes PO problems	Fixes slow approvals	Fixes duplicates	Cost	Time
0. Do nothing	No	No	No	£0	n/a
1. Quick fixes only	Yes	No	Yes	About £0	2 to 4 weeks
2. Quick fixes plus workflow module	Yes	Yes	Yes	£25k + £4k a year	8 to 10 weeks
3. New accounts payable system	Yes	Yes	Yes	Not costed, likely much higher	6 to 12 months

Option 1 leaves the approval bottleneck in place. Option 3 is slow and expensive, and goes beyond the brief, which ruled out changing the finance system. Option 2 only switches on a module Northbridge already pays for.

How Option 2 would be delivered:

- 1. Phase A, weeks 1 to 2.** Block duplicate payments, start recovering the £158,776, introduce "no PO, no pay" with 30 days' notice to suppliers, and set up a quick emergency PO for urgent jobs.

2. **Phase B, weeks 3 to 12.** Appoint a Finance owner, update the approval list, set up the module and mobile app, pilot it with the Operations and Marketing Managers, then roll it out to all budget holders.
3. **Phase C, later.** Warehouse supervisors record deliveries on a tablet, so approvers can see goods have arrived. This needs a separate business case.

Costs and benefits

Option 2 saves an estimated £32,600 a year against running costs of £4,000, so the £25,000 set-up cost is paid back in about 11 months. Over three years, that's a net saving of about £60,800.

	Year 1	Years 1 to 3
Set-up (configuration and training, from IT)	£25,000	£25,000
Running costs (support)	£4,000	£12,000
Total cost	£29,000	£37,000
Query time saved	£9,500	£28,500
Reminder time saved	£14,300	£42,900
Late-payment charges avoided	£8,800	£26,400
Total benefit	£32,600	£97,800
Net benefit	£3,600	£60,800

Duplicate payments are kept separate, on purpose. Blocking them is free and happens in Phase A, so it isn't used to justify the module. It is still the biggest win: £158,776 was paid twice in 2025, some of which may be recoverable, and blocking stops it happening again.

Benefits that aren't in the numbers: better relationships with suppliers, a clear answer for the auditors, and approvals that can be tracked instead of sitting in inboxes.

Assumptions behind the estimates:

- Staff time is costed at £18 an hour, 10 minutes per reminder and 45 minutes per query, as set out in the brief.
- PO-related queries halve once "no PO, no pay" is in place.
- Automatic reminders remove 80% of the manual chasing time.
- Late-payment charges halve. This is deliberately cautious, as the target is a 75% cut.

- The time needed from the Finance owner and budget holders for set-up and training isn't costed yet.

Risks

The biggest risk is repeating the 2023 pilot, which failed because of missing data and no Finance owner, not the technology.

Risk	Likelihood	How we'll manage it
Approval list is wrong, so invoices go to the wrong person	Medium	Finance owner checks it with every department before go-live
Budget holders don't use the app, as in 2023	Medium	Your backing, short training, and a pilot with the two slowest approvers first
Approvals stall when someone is away	High	Every budget holder has a named backup
Suppliers push back on "no PO, no pay"	Medium	30 days' notice and a named contact in Procurement
Emergency POs get overused	Low	Monthly list reviewed by Finance
IT capacity during set-up	Low	External partner does the configuration

Measuring success

We'll track the brief's five targets on a monthly dashboard, starting from the 2025 figures below.

Measure	2025 baseline	Target
Invoices paid on time	82.1%	95% or more
Late-payment charges	£17,597 a year	£4,400 or less
Average days from invoice to payment	21.0 days	14 days or less
Approval reminders	5,955 a year	2,978 or fewer
Duplicate payments	45	None

The dashboard will also show approval times for each approver, invoices returned for having no PO, and open queries. That way we can spot problems early rather than waiting for the year-end figures.

We'll review progress three months after Phase B goes live, and again at six months.

Decisions needed

To get started, I need you to:

- ☐ Approve the £25,000 set-up cost and £4,000 a year for support
- ☐ Name a Finance owner for the approval workflow
- ☐ Back the "no PO, no pay" rule and the 30-day notice to suppliers
- ☐ Agree that the duplicate check can be changed to block payments straight away
- ☐ Agree that we try to recover the £158,776 paid twice in 2025

Once these are agreed, Phase A can start the following week. Full details are in the requirements document and process maps.